# Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) Master Circular

***Issuing Authority: Credit Guarantee Fund Trust for Micro and Small Enterprises & SIDBI***

## 1. Trust Foundation and Institutional Mandate

The Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) was jointly established by the Ministry of MSME and the Small Industries Development Bank of India (SIDBI) to operationalize the Credit Guarantee Scheme (CGS). The scheme provides institutional credit guarantees to Member Lending Institutions (MLIs) — scheduled commercial banks, regional rural banks, and select NBFCs — to enable collateral-free credit delivery to micro and small enterprises.

## 2. Enhanced Guarantee Coverage Limit (Up to Rs. 5 Crore)

The maximum credit guarantee ceiling has been enhanced from Rs. 2 Crore to Rs. 5 Crore per borrower. Guarantee coverage applies to both fund-based term loans and working capital credit facilities, as well as non-fund-based facilities (bank guarantees and letters of credit), without requiring secondary collateral or personal guarantees from third parties.

## 3. Tiered Extent of Guarantee Coverage

CGTMSE provides high guarantee coverage percentages to protect lending institutions against default risk:

• Micro Enterprises (Loans up to Rs. 5 Lakhs): Up to 85% guarantee coverage.

• Women-owned Enterprises / SC & ST Entrepreneurs: Up to 85% guarantee coverage across all eligible loan bands.

• Units located in North Eastern Region, Jammu & Kashmir, and Ladakh: Up to 85% guarantee coverage.

• General Category MSE Borrowers (Loans above Rs. 50 Lakhs up to Rs. 5 Crore): Up to 75% guarantee coverage.

In the event of loan default, the Trust settles claims in two tranches (75% interim settlement upon initiation of legal recovery proceedings and the remainder on final recovery resolution).

## 4. Concessional Annual Guarantee Fee (AGF) Structure

To reduce the borrowing cost for small businesses, the Annual Guarantee Fee (AGF) has been substantially reduced:

• Loans up to Rs. 1 Crore: Base AGF reduced to as low as 0.37% per annum for micro units.

• Loans between Rs. 1 Crore and Rs. 2 Crore: Base AGF of 0.75% per annum.

• Concession of 10% on guarantee fees is granted to Women entrepreneurs and ZED-certified units.

## 5. Hybrid Security Model and Simplified Digital Claims

Under the modified guidelines, MLIs can adopt the Hybrid Security model, where credit facilities are covered partially through primary/collateral security and the remainder is covered under CGTMSE guarantee for up to Rs. 5 Crore. Applications are processed completely digitally through the dedicated CGTMSE portal (cgtmse.in) without requiring borrower interface with the Trust.